

DRAFT EAST AFRICAN COMMUNITY ASSEMBLY SCHEME REGULATIONS 2022

THE EAST AFRICAN COMMUNITY ASSEMBLY SCHEME REGULATIONS 2022				
IN EXERCISE of the powers conferred by Section, 251 of the East African Community Customs Management Act 2004, the Council makes the following Regulations -				
Short title, application and commencement.	1.			These Regulations may be cited as the East African Community Assembly Scheme Regulations 2021
Interpretation	2.	(i)		In these Regulations, unless the context otherwise requires:–
				“ Act ” means the East African Community Customs Management Act 2004;
				“ Assembler ” means a person licensed by a competent authority in a Partner State, to undertake assembly or manufacturing activities;
				“ Assembly ” means the manufacturing process which utilizes precision jigs, fixtures and specialized facilities, and equipment;
				“ Assembly Line ” means an arrangement of machines, tools, and persons in which a finished product is assembled by having each perform a specific, successive and / or progressive operation on an incomplete unit as it passes by in a series of stages organized in a direct line from parts to finished products;
				“ Assembly Plant ” or “ Manufacturing Plant ” means a licensed facility with plant and equipment to assemble finished products by a licenced assembler or manufacturer;
				“ Authorized importer ” means a person licensed under these Regulations to import for assembly or manufacturing activities in a Partner State;
				“ Bonded warehouse ” means any warehouse or other place licensed by the Commissioner for the deposit of dutiable goods on which import duty has not been paid and have been entered for warehousing;
				“ Commercial Vehicles ” are road vehicles for transportation of goods and passengers which includes all forms of trucks and buses and shall not be allowed for assembly at level 1 assembly.
				Commissioner means the Commissioner of Customs;
				“ Competent Authority ” means a body or organization designated by a Partner State to approve / license assemblers / manufacturers;
				“ Completely knocked down kit (CKD) ” means a kit consisting of parts and sub-assemblies used for manufacturing of finished products;
				“ Component ” means uniquely identifiable input, part, piece, assembly or subassembly, system or subsystem, which is intended to be included as a part of a finished product;
				“ Duty remission ” means a reduction of import duty on goods granted by the Council under section 140 of the East Africa Community Customs Management Act, 2004;
				“ Electrical control system(s) ” means any control unit required in a product;
				“ Fastener(s) ” means bolting or clipping;
				“ Original equipment manufacturer (OEM) ” means a manufacturer of parts and sub-assemblies used in the assembly where the manufacturer owns intellectual rights in the parts or sub assemblies;
				“ Localization ” means development / manufacture / production of local parts, components, sub-assemblies and systems for use in the assembly or manufacturing activities and after sales support of a product;
				“ Locally Assembled vehicles ” means vehicles that have been assembled in EAC;
				“ Local content ” means parts and components that are manufactured locally;
				“ Locally Manufactured vehicles ” means vehicles manufactured by a registered OEM in EAC;
				“ Manufacturer ” is a person approved by the competent Authority in a Partner State to manufacture parts for use in assembly and undertake research & development in a product (where applicable) and produce the same in a licensed manufacturing / assembly plant.
				“ Manufacturing ” means any fabrication process that requires technology, infrastructure and manpower investment by which a commodity is finally produced;
				“ Part ” means an individual component fashioned or otherwise manufactured from one

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				piece of metal or other material only and not joined or connected in any way to another component or material;
				“Passenger Vehicles” are road vehicles for transportation of persons including saloons, sedans, station wagons, double cabin pick ups and SUVs but excluding buses.
				“Person” means a legal entity engaged in assembly and manufacturing operations but shall not include persons in EPZ and SEZ
				“Research and development” means conceptualization, innovation, introduction and improvement of products and processes
				“SKD (Semi Knocked Down)” means a kit consisting of a majority of partially assembled parts and subassemblies used for manufacturing of finished products. In the context of these regulations, it shall mean level 1 breakdown of kits.
				“Sub-assembly” means a component consisting of any two or more parts joined together by any means;
				“System(s)” means a set of items working together as parts of a product;
				“Unassembled” means a completely knocked down kit consisting of parts and subassemblies used for the manufacturing of finished products;
Importation provisions	3.	(i)		A person who intends to import CKD or SKD parts and subassemblies shall comply with the conditions specified in these Regulations.
		(ii)		The importation of kits shall be classified as unassembled only if they are imported in the conditions specified in these Regulations, by a registered importer, for assembly by an authorized assembler by an
		(iii)		The importation of parts shall be classified as unassembled only if they are imported in the conditions specified in these Regulations, by a registered importer for use by an authorized assembler / manufacturer
		(iv)		Parts or sub-assemblies may be imported, in compliance with these Regulations, from different Countries of origin and the importer will be required to relate all import documentation to the primary documentation.
		(v)		For a manufacturer, parts or sub-assemblies may be imported, in compliance with these Regulations, from different Countries of origin without the need to relate all import documentation to the primary documentation.
		(vi)		Replacement parts or sub-assemblies may be imported, in compliance with these regulations, as part of the completely knocked down kit and the importer will be required to relate all import documentation to the primary documentation.
Application and approval	4.	(i)		A person who intends to be registered as an assembler or manufacturer shall make an application to the competent authority in the prescribed form. The Applicant shall clearly give the details of the activities he or she intends to carry out.
		(ii)		Upon receipt of an application in the prescribed form, the Competent Authority shall forward the application to the vetting committee for recommendations.
		(iii)		The competent authority may grant approval or reject to license a person who applies to assemble or manufacture based on the recommendations of the vetting committee.
		(iv)		Upon approval, the person shall apply to the Commissioner for a license to operate a bonded warehouse facility
Conditions	5.	(i)		A person applying for approval as an authorized assembler / manufacturer under these regulations shall:
			(a)	be incorporated in any of the Partner States;
			(b)	have an assembly / manufacturing plant duly licensed by the Partner States authorities to assemble / manufacture a product or demonstrate contractual arrangement with an existing licensed/approved assembly plant
			(c)	be tax compliant;
			(d)	provide any other information / documents as may be required by the Commissioner or any other relevant authority in the respective Partner State; and
			(e)	submit quarterly returns where applicable, to the Commissioner giving relevant information as the Commissioner may require.
			(f)	be required to provide a time bound localisation plan to demonstrate a minimum of 30%

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				local content by sourcing locally(East Africa Community region) manufactured parts for Motorvehicles listed in FIRST SCHEDULE ANNEX V
Parts to be excluded from CKD and SKD kits	6.			The parts to be excluded for local manufacturing from the CKD and SKD kits in the assembly or manufacturing operations shall be indicated in the Schedules to these regulations with regard to the particular item to be assembled or manufactured, however assemblers / manufacturers may import the excluded parts subject to payment of duties subject to relevant authority approval.
Special Provisions	7.	(i)		An authorized assembler / manufacturer shall be required to assemble Products at a licenced facility.
		(ii)		The assembly plant in sub-regulation (1) shall have an assembly line which shall:
			(a)	have quality control procedures;
			(b)	have certification from the local environmental authority; and
			(c)	comply with local health and safety regulations.
		(iii)		The process of an assembly line must be clearly defined in a process flow chart and positioned visibly within the assembly plant.
Maintenance of books and records	8.	(i)		The assembler / manufacturer shall in accordance with the EAC CMA 2004 maintain books and records of account for a period of five (5) years relating to;
			(a)	locally sourced goods;
			(b)	imported goods; and
			(c)	goods received by way of transfer.
			(d)	utilization of imports
Revocation of license	9.			The competent authority may, for reasons to be communicated to the manufacturer / assembler, revoke the license.
Power of the proper officer	10.			A proper officer may inspect and verify books, records, manufacturing / assembly facilities and examine any goods or materials with the manufacturing facility or any storage placed relating thereto
Contravention of the Regulations	11.			A person who contravenes these Regulations commits an offence and shall be liable to a maximum fine equivalent to fifty percent of the value of the goods.
Vetting Committee & Composition thereof	12.	(i)		The Competent Authority shall establish a vetting committee. The Committee shall comprise but not limited to the following representation;
			(a)	the ministry responsible for finance;
			(b)	the ministry responsible for trade and industry;
			(c)	the body representative of manufacturers;
			(d)	the body representative of Assemblers; and
			(e)	the Customs.
			(f)	any body or institutions the Competent Authority may deem relevant to appoint
		(ii)		The Committee established under (i) may appoint any other person or institution to be a member of the established Committee where necessary.
Provisions relating to Vetting Committee	13.	(i)		The Committee shall be Chaired by the representative from the Ministry responsible for Finance Industry and the vice chair shall be drawn from either the Assemblers or Manufacturers Association in the respective Partner State;
		(ii)		The quorum for the Committee shall be five members which shall include the representatives of the Ministry responsible for Industry and Customs;
		(iii)		The Committee shall formulate its own procedures for the conduct of its business.
Functions of the Vetting committee	14.	(i)		The functions of the Committee shall be to:-
			(a)	receive, vet and process applications to assemble and advise the Competent Authority, with respect to these applications;
			(b)	advise the Minister responsible for Finance, on assemblers and quantities of goods in respect of which assembly may be granted under these Regulations;
			(c)	perform any other function that may be assigned by the Competent Authority
		(ii)		In the performance of its functions under sub regulation (4), the Committee shall have powers to-
		(a)		require the applicant to furnish it with such further information or document as it may

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				deem necessary;
			(b)	inspect the premises in which goods in respect of which these regulations apply are manufactured or kept.
Review of parts for localization	15.			The Council shall from time to time review the parts / sub assemblies for localization as may be necessary.
Review of the Regulations	16.			These regulations may be reviewed from time to time as the council may deem necessary

FIRST SCHEDULE ANNEX I A

Annex I A – Assembly & Manufacture of Motor Vehicles LEVEL '4' BREAKDOWN		LEVEL '4' BREAKDOWN OF CKD KITS FOR BOTH PASSENGER AND COMMERCIAL MOTOR VEHICLES:		
General Provisions	1.	(i)		Except where otherwise specified, each individual part or sub-assembly shall be imported un-attached to other parts or sub-assemblies.
		(ii)		Brackets, anchor or clinch nuts, clips and similar fasteners shall not be attached to part or sub assemblies
		(iii)		Subject to the provisions of this Schedule, except where otherwise specified, individual parts which have undergone any of the following manufacturing processes may be permitted :–
			(a)	the covering of metal with rubber or plastic material except for leather;
			(b)	the bonding of rubber or plastic material except for leather to metal or glass;
			(c)	bright metal plating; or
			(d)	imitation wood graining.
		(iv)		Except where otherwise specified, parts of sub-assemblies shall be permitted, if joined or attached by any of the following processes –
			(a)	automatic arch-welding;
			(b)	flash butt welding;
			(c)	projection welding;
			(d)	hydraulic pressure welding;
			(e)	high amp spot-welding;
			(f)	di-electrical welding;
			(g)	thermal bonding process; or
			(h)	automatic or multi-spot welding.
			(i)	Ultrasonic welding
			(j)	Cold welding, brazing and soldering
			(h)	Adhesive bonding
Chassis frame	2.	(i)		Where the Chassis frame is of C channel construction in a form consisting of side, cross, cruciform or other members all these shall be manufactured, welded or joined locally
		(ii)		Where the Chassis frame is of box channel, tubular or other construction, the side members may be imported broken down unwelded and adrift save for the cross, outrigger, cruciform or other members and brackets which shall be manufactured locally for welding and assembly in plant
		(iii)		Where the conventional chassis frame is replaced by welded floor components, such as seat risers, floor pans, wheel houses and toe boards instead of side, cross, cruciform or other members, all such components shall be manufactured locally
Body or chassis panels, stamping and pressing	3.	(i)		The cowl, scuttle, bulkhead or firewall shall be adrift and shall not be surface treated in any way except with a coat of primer or other anti-rust preparation or substance.
		(ii)		The cab frame structure shall be manufactured locally including the following components unless indicated otherwise;
			(a)	Doors panels
			(b)	floor panels
			(c)	roof panel
			(d)	Bonnet
			(e)	cab back panel
			(f)	wheel arches;

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			(g)	radiator grille may be imported adrift;
			(h)	grilles surround panel may be imported adrift;
			(i)	dash panel may be imported adrift;
			(j)	bulk-head
			(k)	door pillars;
			(l)	door surrounds may be imported adrift;
			(m)	windscreen surround may be imported adrift;
			(n)	bumper valance may be imported adrift;
		(iii)		The instrument or dashboard panel, glove box and doors may be imported but shall be completely adrift for assembly in plant
		(iv)		The windscreen frame
		(v)		Toe and running boards may be imported with re-enforcements attached but shall not be surface treated in any way except with a coat of primer or other anti-rust preparation or substance
		(vi)		Door pillars
		(vii)		Mudguards or fenders may be imported with holes made therein and reinforcements added but shall not be surface-treated in any way except with a coat of primer or other anti-rust preparation or substance
		(viii)		Trunk, boot lids, bonnets or engine covers will not be assembled with fitting and deadeners or anti-drum material attached but shall not be surface treated in any way except with a coat of primer or other anti-rust preparation or substance
		(ix)		Chassis and body panels, pressing and stampings not elsewhere provided for may be imported with holes made therein, and reinforcements added, and deadeners or antidrum material attached, but shall not be surface-treated in any way except with a coat of primer or other anti-rust preparation or substance
Driveline	4.	(i)		The engine shall be unattached to any supporting sub-frame or chassis members but may be complete with the following;
			(a)	Fan
			(b)	Electrical equipment
			(c)	Manifolds fitted
			(d)	Filters
			(e)	Pumps
			(f)	Clutch and other parts of sub-assembly
			(g)	Gearbox or final drive unit where such unit is incorporated within the gearbox or engine housing
		(ii)		The primary differential drive shaft and flange may be fitted to the differential, where applicable
		(iii)		The radiator shall be adrift
		(iv)		The exhaust pipe and mufflers will be adrift ,
		(v)		The fuel tank shall be discrete with filler housing and cover may be imported in the condition supplied by the manufacturer
Controls	5.	(vi)		The power electronics for electrical vehicles including the harnesses, control systems, rechargeable batteries, electric motors and or inverters may be imported in the condition supplied by the original equipment manufacturer
		(i)		The steering box may have the shaft column attached, but the steering wheel, gear linkages, if any, and electrical equipment shall be adrift.
Axle, brake and suspension system	6.	(ii)		Pedals and linkages made from steel shall be manufactured locally. Those made from other material may be imported but shall be adrifts
		(i)		The rigid or beam type of front suspension shall have the following parts or sub-assemblies adrift –
			(a)	Front axle beam complete with stub-axles, steering arms and braking equipment
			(b)	Springs excluding leaf springs;
			(c)	Shock absorbers;
			(d)	Radius rods and other steering linkages;

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			(e)	Brake pipes and hoses;
			(f)	Tie rods and other steering linkages;
			(g)	In the case of a multi-drive vehicle, the driving front axle may be complete with differential, half-shafts, constant velocity joints and braking equipment;
			(h)	In the case of brake shoes contained within a single brake drum being operated by twin slave cylinders, the bridging pipe connecting these two cylinders, may be left in position.
Front suspension	7.	(i)		The independent type of front suspension shall have the following parts or sub-assemblies adrift –
			(a)	Suspension frame: stub axles complete with wishbones, constant velocity joints, steering arms and braking equipment;
			(b)	Radius rods, anti-roll bars and other suspension linkages;
			(c)	Brake pipes and hoses;
			(d)	Shock absorbers; or
			(e)	Springs excluding leaf springs.
		(ii)		In the case of McPherson type front suspension, the stub axle may be complete with integral shock absorber and springs
		(iii)		In the case of brake shoes contained within a single brake drum being operated by twin slave cylinders, the bridging pipe connecting these two cylinders may be left in position.
		(iv)		The rigid or beam type of rear suspension shall have the following parts or sub-assemblies adrift-
			(a)	Rear axle complete with differential half-shaft and braking equipment;
			(b)	Springs excluding leaf springs;
			(c)	Shock absorbers;
			(d)	Radius rods and other similar suspension linkages;
			(e)	Brake pipes and hoses
		(v)		The independent type of rear suspension shall have the following parts or sub-assemblies adrift:-
			(a)	suspension frame;
			(b)	stub axles complete with bearing housing and brake equipment;
			(c)	differential housing complete with differential and primary differential drive shaft;
			(d)	radius rods and other similar suspension linkages;
			(e)	brake cables, linkages, pipes and hoses;
			(f)	propeller shaft;
			(g)	shock absorbers; or
			(h)	springs (Excluding leaf springs)
		(vi)		Single pivot and double pivot swing type rear axles, where the half-shafts are enclosed in pivoted axle tubes, may be assembled
Instruments	8.			The instrument or dashboard panel must shall not be trimmed in any way with electrical wiring, air vents, instrument cluster, infotainment or radio, air conditioning units shall all be supplied adrift
Miscellaneous materials, parts and accessories for motor vehicles	9.	(i)		Miscellaneous materials, parts and accessories for motor vehicles shall comply with the following conditions
			(a)	anti-squeak and anti-drum material may be cut to size
			(b)	weather strip may be in the piece
			(c)	glass shall be devoid of any attachments
			(d)	seat frames may be assembled but not upholstered
			(e)	upholstery or cushion springs may be loose or in cages; and
			(f)	carpeting, upholstery, headlining, convertible tops, vinyl roof coverings may be in the condition supplied by the manufacturer
		(ii)		The following and other fittings and accessories may be imported in the condition supplied:-
			(a)	bonnet catch sub-assemblies;
			(b)	bonnet ornaments;
			(c)	radiator grille;
			(d)	window and door handles;

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			(e)	window winding mechanism;
			(f)	window support frame;
			(g)	window fasteners;
			(h)	window glass channel;
			(i)	window sash weather strip metal and felt;
			(j)	door arm-rest;
			(k)	door check straps, metal or other material;
			(l)	door pulls and assist cords;
			(m)	arm-rest sub-assemblies including hinges and support or brackets therefore but excluding upholstery;
			(n)	direction indicator;
			(o)	electrical sockets and fittings;
			(p)	cigar and cigarette lighters;
			(q)	clocks;
			(r)	windscreen wipers;
			(s)	horn or hooter;
			(t)	ash trays;
			(u)	robe rails;
			(v)	parcel nets;
			(w)	guiding and lifting adjustable seal;
			(x)	guiding and lifting adjustable seat level slides and locking devices;
			(y)	safety belts including fittings and anchorages;
			(z)	upholstery wire stiffeners;
			(aa)	ventilator window frames and operating mechanism including coal ventilator sub-assemblies;
			(bb)	step plate (running board);
			(cc)	rubber engine mounting;
			(dd)	stone guards and dust shields;
			(ee)	ornamental moldings and monograms including window reveals or garnish molding to imitate wood;
			(ff)	bolts, nails, nuts, rivets, tacks and washers, excluding U bolt nuts and U bolts as catered for under the exclusions;
			(gg)	hinges and locks including hinger arm sub-assemblies;
			(hh)	chains and hooks;
			(ii)	metal brackets, braces, supports, reinforcements;
			(jj)	forgings, castings, anchor plates or nuts;
			(kk)	nailing strips with nails inserted;
			(ll)	tacking or trim strips; or
			(mm)	boot cardboard panels.

FIRST SCHEDULE ANNEX I B

Annex I B – Assembly & Manufacture of Trailers LEVEL '4' BREAKDOWN			LEVEL '4' BREAKDOWN OF CKD PARTS FOR TRAILERS:	
[General Provisions]	1.			[Trailer, Tank and Tipper structure and body materials whether of box channel, tubular or other construction form that includes chassis beam and cross member materials untreated with anti rust, unpainted, unwelded or riveted shall be imported adrift except where each part of such member is welded or riveted together by the original equipment manufacturer. (URT position)]
				[Trailer, Tank and Tipper chassis and cross member materials covering H beams (whether rolled or welded), flats, plates, coils shall be allowed in an unprocessed form. Body Structures including trailer chassis, floors, roof, sides shall be manufactured from flat / plate and all processing requiring cutting, bending, profiling, stamping, pressing and welding shall

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Annex I B – Assembly & Manufacture of Trailers LEVEL '4' BREAKDOWN			LEVEL '4' BREAKDOWN OF CKD PARTS FOR TRAILERS:	
				be carried out locally (Kenya position)]
Driveline	2.			The trailer axles, suspension and all other driveline components shall be unattached to any supporting sub-frame or chassis members
Miscellaneous materials, parts and accessories for trailers	3.	(i)		The following parts or sub-assemblies shall constitute the complete knocked down kits for trailers
			(a)	Axle
			(b)	Undergear Suspension assembly kits except leaf springs
			(c)	Brake & lighting systems;
			(d)	Tyre and Rims
			(e)	Landing gears
			(f)	Turntables and towing bars
			(g)	King pin kits
			(h)	Hydraulic tipping system kits
			(i)	Tank fitting systems for tank or bulkers
			(j)	Bolts and nuts except center bolts and U bolts
			(k)	Bushings for Trailers
			(l)	Container Locks

FIRST SCHEDULE ANNEX II

Annex II – Assembly & Manufacture of Motor Vehicles LEVEL '3' BREAKDOWN			LEVEL '3' BREAKDOWN OF CKD KITS FOR BOTH PASSENGER AND COMMERCIAL MOTOR VEHICLES:	
General Provisions	1.	(i)		Except where otherwise specified, each individual part or sub-assembly shall be imported un-attached to other parts or sub-assemblies.
		(ii)		Brackets, anchor or clinch nuts, clips and similar fasteners may be attached to parts or sub-assemblies in accordance with the provisions of paragraph (i).
		(iii)		Subject to the provisions of this Schedule, parts or sub-assemblies which have undergone any of the following manufacturing processes may be permitted :–
			(a)	the covering of metal with rubber or plastic material except for leather;
			(b)	the bonding of rubber or plastic material except for leather to metal or glass;
			(c)	bright metal plating; or
			(d)	imitation wood graining.
		(iv)		Parts of sub-assemblies shall be permitted, if joined or attached by any of the following processes –
			(a)	automatic arch-welding;
			(b)	flash butt welding;
			(c)	projection welding;
			(d)	hydraulic pressure welding;
			(e)	high amp spot-welding;
			(f)	di-electrical welding;
			(g)	thermal bonding process; or
			(h)	automatic or multi-spot welding.
Chassis frame	2.	(i)		Where the Chassis frame whether of box channel, tubular or other construction, is in a form consisting of side, cross, cruciform or other members each part of such member shall be imported adrift, except where each part of such member is welded or riveted together by the original equipment manufacturer.
		(ii)		Welded chassis frames shall be broken down into major sub-assemblies for welding in plant and all cross members and outriggers shall be shipped loose.
		(iii)		Riveted chassis frames shall be broken down into major sub-assemblies for riveting in plant.
		(iv)		Bolted chassis frames shall be broken down into major sub-assemblies for bolting in plant.

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		(v)		Where the conventional chassis frame is replaced by welded floor components, such as seat risers, floor pans, wheel houses and toe boards instead of side, cross, cruciform or other members, such floor components shall, except where welded or riveted together, be adrift.
Body or chassis panels, stamping, pressing, forming or moulding	3	(i)		The cowl, scuttle, bulkhead or firewall may be assembled, but shall not be surface treated in any way except with a coat of primer or other anti-rust preparation or substance.
		(ii)		The cabs are to be broken down to the extent that the following major items must be imported as sub-assemblies;
			(a)	Doors;
			(b)	floor assembly;
			(c)	roof panel;
			(d)	Bonnet;
			(e)	cab back panel;
			(f)	wheel larches;
			(g)	radiator grille;
			(h)	grilles surround panel;
			(g)	dash assembly;
			(h)	bulk-head assembly;
			(i)	door pillars;
			(j)	door surrounds;
			(k)	windscreen surround;
			(l)	bumper valance;
		(iii)		The instrument or dashboard panel, glove box and doors may be in the condition supplied by the manufacturer.
		(iv)		The windscreen frame may be imported with re-enforcements or other attachments but shall be without glass
		(v)		Toe and running boards may be imported with re-enforcements attached but shall not be surface treated in any way except with a coat of primer or other anti-rust preparation or substance
		(vi)		Doors may be assembled with all internal fittings in position and may include deadeners or anti-drum material but shall be devoid of-
			(a)	door locks;
			(b)	window winding mechanisms;
			(c)	Glass;
			(d)	trim and / or upholstery material.
			(e)	but shall not be surface-treated in any way except with a coat of primer or anti-rust preparation or substance.
		(vii)		Door pillars may be assembled and have the metal fittings in position
		(viii)		Mudguards or fenders may be imported with holes made therein and reinforcements added but shall not be surface-treated in any way except with a coat of primer or other anti-rust preparation or substance
		(ix)		Trunk, boot lids, bonnets or engine covers may be assembled with fitting and deadeners or anti-drum material attached but shall not be surface treated in any way except with a coat of primer or other anti-rust preparation or substance
		(x)		Chassis and body panels, pressing and stampings not elsewhere provided for may be imported with holes made therein, and reinforcements added, and deadeners or anti-drum material attached, but shall not be surface-treated in any way except with a coat of primer or other anti-rust preparation or substance
		(xi)		Roof panels, pressings or stamping in conformity with these Regulations may have drip moldings attached
Driveline	4	(i)		The engine shall be unattached to any supporting sub-frame or chassis members, but may be complete with-
			(a)	Fan;
			(b)	Electrical equipment;

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Annex II – Assembly & Manufacture of Motor Vehicles LEVEL '3' BREAKDOWN			LEVEL '3' BREAKDOWN OF CKD KITS FOR BOTH PASSENGER AND COMMERCIAL MOTOR VEHICLES:	
			(c)	Manifolds;
			(d)	Fuel and Oil Filters;
			(e)	Pumps;
			(f)	Clutch and other parts of sub-assembly attachments; or
			(g)	Gearbox or final drive unit where such unit is incorporated within the gearbox or engine housing
		(ii)		The primary differential drive shaft and flange may be fitted to the differential, where applicable
		(iii)		The radiator, including the shell and mounting frame may be assembled
		(iv)		The exhaust pipe and mufflers may be assembled, but not fitted together unless permanently attached
Controls	5.	(i)		The steering box may have the shaft column attached, but the steering wheel, gear linkages, if any, and electrical equipment shall be adrift.
		(ii)		Pedals and linkages may be assembled.
Axle, brake and suspension system	6.	(i)		The rigid or beam type of front suspension shall have the following parts or sub-assemblies adrift –
			(a)	Front axle beam complete with stub-axles, steering arms and braking equipment
			(b)	Springs excluding leaf springs;
			(c)	Shock absorbers;
			(d)	Radius rods and other steering linkages;
			(e)	Brake pipes and hoses;
			(f)	Tie rods and other steering linkages;
			(g)	In the case of a multi-drive vehicle, the driving front axle may be complete with differential, half-shafts, constant velocity joints and braking equipment;
Front suspension	7.	(i)		The independent type of front suspension shall have the following parts or sub-assemblies adrift
			(a)	Suspension frame: stub axles complete with wishbones, constant velocity joints, steering arms and braking equipment;
			(b)	Radius rods, anti-roll bars and other suspension linkages;
			(c)	Brake pipes and hoses;
			(d)	Shock absorbers; or
			(e)	Springs excluding leaf springs.
		(ii)		In the case of McPherson type front suspension, the stub axle may be complete with integral shock absorber and springs
		(iii)		In the case of brake shoes contained within a single brake drum being operated by twin slave cylinders, the bridging pipe connecting these two cylinders may be left in position.
		(iv)		The rigid or beam type of rear suspension shall have the following parts or sub-assemblies adrift-
			(a)	Rear axle complete with differential half-shaft and braking equipment;
			(b)	Springs excluding leaf springs;
			(c)	Shock absorbers;
			(d)	Radius rods and other similar suspension linkages;
			(e)	Brake pipes and hoses
		(v)		The independent type of rear suspension shall have the following parts or sub-assemblies adrift:-
			(a)	suspension frame;

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Annex II – Assembly & Manufacture of Motor Vehicles LEVEL '3' BREAKDOWN			LEVEL '3' BREAKDOWN OF CKD KITS FOR BOTH PASSENGER AND COMMERCIAL MOTOR VEHICLES:	
			(b)	stub axles complete with bearing housing and brake equipment;
			(c)	differential housing complete with differential and primary differential drive shaft;
			(d)	radius rods and other similar suspension linkages;
			(e)	brake cables, linkages, pipes and hoses;
			(f)	propeller shaft;
			(g)	shock absorbers; or
			(h)	springs (Excluding leaf springs)
		(vi)		Single pivot and double pivot swing type rear axles, where the half-shafts are enclosed in pivoted axle tubes, may be assembled
Instruments	8.			Instruments including the cables may be clustered but may not be mounted in the instrument panel
Miscellaneous materials, parts and accessories for motor vehicles	9.	(i)		Miscellaneous materials, parts and accessories for motor vehicles shall comply with the following conditions
			(a)	anti-squeak and anti-drum material may be cut to size
			(b)	weather strip may be in the piece
			(c)	glass shall be devoid of any attachments
			(d)	seat frames may be assembled but not upholstered
			(e)	upholstery or cushion springs may be loose or in cages; and
			(f)	carpeting, upholstery, headlining, convertible tops, vinyl roof coverings may be in the condition supplied by the manufacturer
		(ii)		The following and other fittings and accessories may be imported in the condition supplied:-
			(a)	bonnet catch sub-assemblies;
			(b)	bonnet ornaments;
			(c)	radiator grille;
			(d)	window and door handles;
			(e)	window winding mechanism;
			(f)	window support frame;
			(g)	window fasteners;
			(h)	window glass channel;
			(i)	window sash weather strip metal and felt;
			(j)	door arm-rest;
			(k)	door check straps, metal or other material;
			(l)	door pulls and assist cords;
			(m)	arm-rest sub-assemblies including hinges and support or brackets therefore but excluding upholstery;
			(n)	direction indicator;
			(o)	electrical sockets and fittings;
			(p)	cigar and cigarette lighters;
			(q)	clocks;
			(r)	windscreen wipers;
			(s)	horn or hooter;
			(t)	ash trays;
			(u)	robe rails;
			(v)	parcel nets;
			(w)	guiding and lifting adjustable seal;
			(x)	guiding and lifting adjustable seat level slides and locking devices;
			(y)	safety belts including fittings and anchorages;
			(z)	upholstery wire stiffeners;
			(aa)	ventilator window frames and operating mechanism including coal ventilator sub-assemblies;
			(bb)	step plate (running board);
			(cc)	rubber engine mounting;
			(dd)	stone guards and dust shields;
			(ee)	ornamental moldings and monograms including window reveals or garnish molding to imitate

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Annex II – Assembly & Manufacture of Motor Vehicles LEVEL '3' BREAKDOWN			LEVEL '3' BREAKDOWN OF CKD KITS FOR BOTH PASSENGER AND COMMERCIAL MOTOR VEHICLES:	
				wood;
		(ff)		bolts, nails, nuts, rivets, tacks and washers, excluding U bolt nuts and U bolts as catered for under the exclusions;
		(gg)		hinges and locks including hinger arm sub-assemblies;
		(hh)		chains and hooks;
		(ii)		metal brackets, braces, supports, reinforcements;
		(jj)		forgings, castings, anchor plates or nuts;
		(kk)		nailing strips with nails inserted;
		(ll)		tacking or trim strips; or
		(mm)		boot cardboard panels.

FIRST SCHEDULE ANNEX III

Annex III – Assembly & Manufacture of Motor Vehicles LEVEL '2' BREAKDOWN			LEVEL '2' BREAKDOWN OF CKD KITS FOR BOTH PASSENGER AND COMMERCIAL MOTOR VEHICLES:	
		(i)		A person operating under level 2 breakdown shall be required to transit and operate in level 3 breakdown sixty (60) months from the date of approval / license
General Provisions	1.	(ii)		Except where otherwise specified, each individual part or sub-assembly shall be imported un-attached to other parts or sub-assemblies.
		(iii)		Brackets, anchor or clinch nuts, clips and similar fasteners may be attached to parts or sub-assemblies in accordance with the provisions of paragraph (i).
		(iv)		Subject to the provisions of this Schedule, parts or sub-assemblies which have undergone any of the following manufacturing processes may be permitted –
			(a)	the covering of metal with rubber or plastic material except for leather;
			(b)	the bonding of rubber or plastic material except for leather to metal or glass;
			(c)	bright metal plating; or
			(d)	imitation wood graining
		(iv)		Parts of sub-assemblies shall be permitted, if joined or attached by any of the following processes –
			(a)	automatic arch-welding
			(b)	flash butt welding
			(c)	projection welding
			(d)	hydraulic pressure welding
			(e)	high amp spot-welding
			(f)	di-electrical welding
			(g)	thermal bonding process; or
			(h)	automatic or multi-spot welding
Chassis frame	2.	(i)	(a)	For Passengers vehicles, the chassis frame, when welded may be imported as a sub-assembly in the welded condition, surface treated with paint, primer or other anti-rust preparation or substance but devoid of any trim, mechanical or glass components.
			(b)	For Commercial vehicles chassis frame, shall not be welded at import and to be welded to a sub-assembly in the welded condition, surface treated with paint, primer or other anti-rust preparation or substance but devoid of any trim, mechanical or glass components.
		(ii)		Riveted chassis frames shall be broken down into major sub-assemblies for riveting in plant.
		(iii)		Bolted chassis frames shall be broken down into major sub-assemblies for bolting in plant.
Body, Cab and Rear body	3.	(i)		The body or cab, may be imported as a sub-assembly, in the welded condition, surface treated with paint, primer or other anti-rust preparation or substance but devoid of any trim, mechanical or glass components.
		(ii)		The load body, may be imported as a sub-assembly in the weld condition, surface treated with paint, primer or other anti-rust preparation or substance but devoid of any trim, mechanical or glass components
		(iii)		The instrument or dashboard panel, glove box and doors may be in the condition supplied by

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Annex III – Assembly & Manufacture of Motor Vehicles LEVEL '2' BREAKDOWN		LEVEL '2' BREAKDOWN OF CKD KITS FOR BOTH PASSENGER AND COMMERCIAL MOTOR VEHICLES:	
			the manufacturer.
		(iv)	Toe and running boards may be imported with re-enforcements attached but may be surface treated in any way except with a coat of paint, primer or other anti-rust preparation or substance.
		(v)	Doors may be assembled with all internal fittings in position and may include deadeners or anti-drum material but shall be devoid of-
			(a) door locks;
			(b) window winding mechanisms;
			(c) glass
			(d) trim and / or upholstery material
Driveline	4.	(i)	The engine shall be unattached to any supporting sub-frame or chassis members, but may be complete with-
			(a) Fan;
			(b) electrical equipment;
			(c) Manifolds;
			(d) Fuel & Oil Filters;
			(e) Pumps;
			(f) clutch and other parts of sub-assembly attachments; or
		(ii)	gearbox or final drive unit where such unit is incorporated within the gearbox or engine housing
		(iii)	The primary differential drive shaft and flange may be fitted to the differential, where applicable
		(iv)	The radiator, including the shell and mounting frame may be assembled
Controls	5.	(i)	The steering box may have the shaft column attached, but the steering wheel, gear linkages, if any, and electrical equipment shall be adrift
		(ii)	Pedals and linkages may be assembled
Axle, brake and suspension system	6.	(i)	The rigid or beam type of front suspension shall have the following parts or sub-assemblies adrift –
			(a) front axle beam complete with stub-axles, steering arms and braking equipment
			(b) springs excluding leaf springs
			(c) shock absorbers
			(d) radius rods and other steering linkages
			(e) brake pipes and hoses
			(f) tie rods and other steering linkages
			(g) in the case of a multi-drive vehicle, the driving front axle may be complete with differential, half-shafts, constant velocity joints and braking equipment
Front suspension	7.	(i)	in the case of brake shoes contained within a single brake drum being operated by twin slave cylinders, the bridging pipe connecting these two cylinders, may be left in position
			The independent type of front suspension shall have the following parts or sub-assemblies adrift:-
			(a) suspension frame; stub axles complete with wishbones, constant velocity joints, steering arms and braking equipment;
			(b) radius rods, anti-roll bars and other suspension linkages;
			(c) brake pipes and hoses
			(d) shock absorbers; or
			(e) springs excluding leaf springs.

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Annex III – Assembly & Manufacture of Motor Vehicles LEVEL '2' BREAKDOWN		LEVEL '2' BREAKDOWN OF CKD KITS FOR BOTH PASSENGER AND COMMERCIAL MOTOR VEHICLES:		
		(ii)		In the case of McPherson type front suspension, the stub axle may be complete with integral shock absorber and springs
		(iii)		In the case of brake shoes contained within a single brake drum being operated by twin slave cylinders, the bridging pipe connecting these two cylinders may be left in position
		(iv)		The rigid or beam type of rear suspension shall have the following parts or sub-assemblies adrift-
			(a)	rear axle complete with differential half-shaft and braking equipment;
			(b)	springs excluding leaf springs;
			(c)	shock absorbers;
			(d)	radius rods and other similar suspension linkages;
			(e)	brake pipes and hoses.
		(v)		The independent type of rear suspension shall have the following parts or sub-assemblies adrift –
			(a)	suspension frame;
			(b)	stub axles complete with bearing housing and brake equipment;
			(c)	differential housing complete with differential and primary differential drive shaft;
			(d)	radius rods and other similar suspension linkages;
			(e)	brake cables, linkages, pipes and hoses;
			(f)	propeller shaft;
			(g)	shock absorbers; or
			(h)	springs (Excluding leaf springs).
		(vi)		Single pivot and double pivot swing type rear axles, where the half-shafts are enclosed in pivoted axle tubes, may be assembled.
Instruments	8.			Instruments including the cables may be clustered but may not be mounted in the instrument panel
Miscellaneous materials, parts and accessories for motor vehicles –	9.	(i)		Miscellaneous materials, parts and accessories for motor vehicles shall comply with the following conditions-
			(a)	anti-squeak and anti-drum material may be cut to size;
			(b)	weather strip may be in the piece;
			(c)	glass shall be devoid of any attachments;
			(d)	seat frames may be assembled but not upholstered;
			(e)	upholstery or cushion springs may be loose or in cages; and
			(f)	carpeting, upholstery, headlining, convertible tops, vinyl roof coverings may be in the condition supplied by the manufacturer.
		(ii)		The following and other fittings and accessories may be imported in the condition supplied –
			(a)	bonnet catch sub-assemblies
			(b)	bonnet ornaments
			(c)	radiator grille
			(d)	window and door handles
			(e)	window winding mechanism
			(f)	window support frame
			(g)	window fasteners
			(h)	window glass channel
			(i)	window sash weather strip metal and felt
			(j)	door arm-rest
			(k)	door check straps, metal or other material
			(l)	door pulls and assist cords
			(m)	arm-rest sub-assemblies including hinges and support or brackets therefore but excluding upholstery
			(n)	direction indicators
			(o)	electrical sockets and fittings
			(p)	cigar and cigarette lighters
			(q)	clocks

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Annex III – Assembly & Manufacture of Motor Vehicles LEVEL '2' BREAKDOWN			LEVEL '2' BREAKDOWN OF CKD KITS FOR BOTH PASSENGER AND COMMERCIAL MOTOR VEHICLES:	
			(r)	windscreen wipers
			(s)	horn or hooter
			(t)	ash trays
			(u)	robe rails
			(v)	parcel nets
			(w)	guiding and lifting adjustable seal
			(x)	guiding and lifting adjustable seat level slides and locking devices
			(y)	safety belts including fittings and anchorages
			(z)	upholstery wire stiffeners
			(aa)	ventilator window frames and operating mechanism including coal ventilator sub-assemblies
			(bb)	step plate (running board)
			(cc)	rubber engine mounting
			(dd)	stone guards and dust shields
			(ee)	ornamental moldings and monograms including window reveals or garnish molding to imitate wood
			(ff)	bolts, nails, nuts, rivets, tacks and washers, excluding U bolt nuts and U bolts as catered for under the exclusions
			(gg)	hinges and locks including hinger arm sub-assemblies
			(hh)	chains and hooks
			(ii)	metal brackets, braces, supports, reinforcements
			(jj)	forgings, castings, anchor plates or nuts
			(kk)	nailing strips with nails inserted
			(ll)	tacking or trim strips; or
			(mm)	boot cardboard panels

FIRST SCHEDULE ANNEX IV

Annex IV – Assembly & Manufacture of Motor Vehicles LEVEL '1' BREAKDOWN			LEVEL '1' BREAKDOWN OF SKD KITS FOR PASSENGER MOTOR VEHICLES:	
General Provisions	1.	(i)		A person operating under level 1 breakdown(SKD) shall be required to transit and operate in level 2 breakdown thirty six (36) months from the date of approval / license
		(ii)		Except where otherwise specified, each individual part or sub-assembly shall be imported un-attached to other parts or sub-assemblies.
		(iii)		Brackets, anchor or clinch nuts, clips and similar fasteners may be attached to parts or sub-assemblies in accordance with the provisions of paragraph (i).
		(iv)		Subject to the provisions of this Schedule, parts or sub-assemblies which have undergone any of the following manufacturing processes may be permitted –
			(a)	the covering of metal with rubber or plastic material;
			(b)	the bonding of rubber or plastic material to metal or glass;
			(c)	bright metal plating; or
			(d)	imitation wood graining.
		(iv)		Parts of sub-assemblies shall be permitted, if joined or attached by any of the following processes –
			(a)	automatic arch-welding;
			(b)	flash butt welding;
			(c)	projection welding;
			(d)	hydraulic pressure welding;
			(e)	high amp spot-welding;
			(f)	di-electrical welding;
			(g)	thermal bonding process; or
			(h)	automatic or multi-spot welding.
Chassis frame	2.	(i)		The chassis frame, when welded may be imported as a sub-assembly in the welded

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Annex IV – Assembly & Manufacture of Motor Vehicles LEVEL ‘1’ BREAKDOWN			LEVEL ‘1’ BREAKDOWN OF SKD KITS FOR PASSENGER MOTOR VEHICLES:	
				condition, surface treated with paint, primer or other anti-rust preparation or substance but devoid of any trim, mechanical or glass components.
		(ii)		Riveted chassis frames shall be broken down into major sub-assemblies for riveting in plant.
		(iii)		Bolted chassis frames shall be broken down into major sub-assemblies for bolting in plant.
Body Shell	3.			The body may be imported as a sub-assembly, in the welded, painted, and trimmed condition.
Driveline	4.	(i)		The engine shall be unattached to any supporting sub-frame or chassis members, but may be complete with-
			(a)	fan;
			(b)	electrical equipment;
			(c)	manifolds;
			(d)	Fuel and Oil filters;
			(e)	pumps,
			(f)	clutch and other parts of sub-assembly attachments; or
		(ii)		gearbox or final drive unit where such unit is incorporated within the gearbox or engine housing.
		(iii)		The primary differential drive shaft and flange may be fitted to the differential, where applicable.
		(iv)		The radiator, including the shell and mounting frame may be assembled.
Axle, brake and suspension system	5.	(i)		The rigid or beam type of front suspension shall have the following parts or sub-assemblies adrift –
			(a)	front axle beam complete with stub-axles, steering arms and braking equipment
			(b)	springs excluding leaf springs;
			(c)	shock absorbers;
			(d)	radius rods and other steering linkages;
			(e)	brake pipes and hoses;
			(f)	tie rods and other steering linkages;
			(g)	in the case of a multi-drive vehicle, the driving front axle may be complete with differential, half-shafts, constant velocity joints and braking equipment;
			(h)	in the case of brake shoes contained within a single brake drum being operated by twin slave cylinders, the bridging pipe connecting these two cylinders, may be left in position.
		(ii)		The independent type of front suspension shall have the following parts or sub-assemblies adrift –
Front suspension	6.	(i)	(a)	suspension frame; stub axles complete with wishbones, constant velocity joints, steering arms and braking equipment;
			(b)	radius rods, anti-roll bars and other suspension linkages;
			(c)	brake pipes and hoses;
			(d)	shock absorbers; or
			(e)	springs excluding leaf springs.
		(ii)		In the case of McPherson type front suspension, the stub axle may be complete with integral shock absorber and springs.
		(iii)		In the case of brake shoes contained within a single brake drum being operated by twin slave cylinders, the bridging pipe connecting these two cylinders may be left in position
		(iv)		The rigid or beam type of rear suspension shall have the following parts or sub-assemblies adrift-
			(a)	rear axle complete with differential half-shaft and braking equipment;
			(b)	springs excluding leaf springs;

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Annex IV – Assembly & Manufacture of Motor Vehicles LEVEL ‘1’ BREAKDOWN			LEVEL ‘1’ BREAKDOWN OF SKD KITS FOR PASSENGER MOTOR VEHICLES:	
			(c)	shock absorbers;
			(d)	radius rods and other similar suspension linkages;
			(e)	brake pipes and hoses.
		(v)		The independent type of rear suspension shall have the following parts or sub -assemblies adrift –
			(a)	suspension frame;
			(b)	stub axles complete with bearing housing and brake equipment;
			(c)	differential housing complete with differential and primary differential drive shaft;
			(d)	radius rods and other similar suspension linkages;
			(e)	brake cables, linkages, pipes and hoses;
			(f)	propeller shaft;
			(g)	shock absorbers; or
			(h)	springs (Excluding leaf springs).
		(vi)		Single pivot and double pivot swing type rear axles, where the half-shafts are enclosed in pivoted axle tubes, may be assembled

FIRST SCHEDULE ANNEX V

Annex V – Assembly & Manufacture of Motor Vehicles LEVEL 1, 2 & 3 BREAKDOWN			LEVEL 1, 2, 3 & 4 BREAKDOWN	
General Provisions	1.	(i)		The following parts shall be allowed as constituting parts or sub-assemblies of the unassembled motor vehicles specified in First, Second, Third and Fourth Schedules - PART I
			(a)	Curved windscreen, side and rear glass
			(b)	Radiators
			(c)	Tyres
			(d)	CKD Buses with stamped, molded and pressed body parts
		(ii)		The following parts shall not be allowed as constituting parts or sub-assemblies of the unassembled motor vehicles specified in First, Second, Third and Fourth Schedules - PART II
			(a)	Batteries;
			(b)	Battery cables;
			(c)	Air filters;
			(d)	Exhaust pipes and silencers;
			(e)	Leaf springs assembly and leaf springs;
			(f)	U-Bolts, U-bolt nuts and center bolts;
			(g)	Wiring harnesses;
			(h)	In vehicle literature;
			(i)	Vehicle VIN plates and decals;
			(j)	Automotive paints and painting preparation chemicals;
			(k)	Speed governors and accessories;
			(l)	Seat frames;
			(m)	Seat foam pads (polyurethane foam);
			(n)	Seat upholstery;
			(o)	Soft interior trim;
			(p)	Canvas;
			(q)	Spare-wheel carrier;
			(r)	Shackle pins for leaf springs;
			(s)	Windscreen, side and rear glass;
			(t)	Sealers
			(u)	Adhesives;
			(v)	Toughened flat glass;
			(w)	Canvas hoods, covers and screens;
			(x)	Soft trim upholstery;
			(y)	Sound deadening material;

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Annex V – Assembly & Manufacture of Motor Vehicles LEVEL 1, 2 & 3 BREAKDOWN			LEVEL 1, 2, 3 & 4 BREAKDOWN	
		(iii)	(a)	All bus super structurers and metals for fabrication,
			(b)	all bus body panels and door panels,
			(c)	all bus window frames and glasses including windscreens
			(d)	All aluminum and fibre profile trims
			(e)	All interior building structurers, metal cladding and floor laying material;
			(f)	All accessories other than assemblies such as air conditioning assemblies, all interior lights, exterior trim and entertainment systems

SECOND SCHEDULE

Assembly & Manufacture of Motorcycles			ASSEMBLY & MANUFACTURE OF MOTORCYCLES	
Importation of unassembled motorcycle	1.			A person who intends to assemble or manufacture motorcycles shall be licenced by the competent authority in the respective Partner State to assemble or manufacture motorcycles and comply with the conditions specified in these Regulations and any other applicable law
Condition of imported Motorcycle Kits	2.	(i)		The importation of kits shall be classified as unassembled only if they are imported in the condition specified in these Regulations
Application for approval of importation	3.	(i)		A person shall not import unassembled motorcycle under these regulations unless he is an authorized and licensed assembler by the Competent Authority in the respective Partner State
		(ii)		The application for approval shall provide details of the models of the motorcycles to be assembled
		(iii)		Upon receipt of an application in the prescribed form, the Competent Authority shall forward the application to the vetting committee for recommendations.
		(iv)		The Competent Authority shall review the application submitted under sub regulation (2) and approve or decline the application, and the decision shall be communicated to the applicant in writing;
		(v)		Upon approval, the person may apply to the commissioner for a license to operate a bonded warehouse facility
		(vi)		The competent authority may grant approval or reject to license a person who applies to assemble or manufacture motorcycles based on the recommendations of the vetting committee.
Conditions for approval as an authorized assembler	4.	(i)		A person applying for approval as authorised assembler shall;
			(a)	be incorporated in any of EAC Partner State
			(b)	comply with the conditions specified in these regulation
			(c)	not import unassembled motorcycle under duty remission if that person is not an authorised assembler
			(d)	not be granted duty remission if that person does not source locally available parts as listed
			(e)	have an assembly plant or demonstrate contractual arrangement with an licensed / approved assembly plant
			(f)	be tax compliant
			(g)	be required to provide a time bound localisation plan for sourcing locally manufactured motorcycle parts within the East Africa Community
			(h)	provide a plan for the transfer of technology, Knowledge and skills through training, mentoring and participation of EAC Citizen
			(i)	provide any other information or document as may be by approving Authority
		(ii)	(a)	The application for approval to assemble motorcycles shall provide details of the models of the motorcycles to be assembled
		(iii)		The applicant to assemble motorcycles shall clearly give the details of the activities he or she intends to carry out

DRAFT EAST AFRICAN COMMUNITY ASSEMBLY SCHEME REGULATIONS 2022

Assembly & Manufacture of Motorcycles			ASSEMBLY & MANUFACTURE OF MOTORCYCLES	
Commissioner to approve transfer of completely knocked down kits	5.			The Commissioner may permit transfer of unassembled or assembled motor cycles from one facility to another facility in accordance with the Act and local legislation.
Breakdown of completely knocked down kits	6.	(i)		The completely knocked down kit shall have the engine and chassis frame unattached to other parts of a motor cycle when they are imported together;
		(ii)		The following are the minimum main parts and sub-assemblies of completely knocked down kits for motor cycles which shall be unattached to other main part or sub-assembly in the list.
			(a)	the engine box kit
			(b)	the chassis frame or frame assembly
			(c)	Fuel / petrol tank
			(d)	wheel assembly component (front and rear) excluding tyres
			(e)	handle bar assembly
			(f)	front and rear suspension
			(g)	motor (for electric motorcycles)
			(h)	inverter (for electric motorcycles)
			(i)	Lithium Batteries
Local Content	7.	(i)		These Regulations provide beneficiaries of this duty remission a time frame for localization of parts to be manufactured in East African Community within a period of three years
		(ii)		The following parts shall be excluded from the CKD kits for motorcycles twelve (12) months from the date of publication of these Regulations
			(a)	Side stand, kick stand or prop stand;
			(b)	Centre main stand;
			(c)	Leg / crash / engine guard;
			(d)	Left and right pillion / third rider footrest(s);
			(e)	Rear carrier / back carrier / pillion handle;
			(f)	Battery fluid;
		(iii)		The following parts shall be excluded from the CKD kits for motorcycles twenty four (24) months from the date of publication of these Regulations
			(a)	Air cleaner filter
			(b)	Wire harness
			(c)	Brake stopper
			(d)	Head light stay
			(e)	Main stay or bar step
			(f)	Battery
			(g)	Seat
			(h)	Seat Cover
			(i)	Tires
		(iv)		Upon coming in to force of these Regulations and expiry of timeframe provided to beneficiaries of this duty remission, the parts identified in Regulation 10 (ii) and (iii) shall be subjected to full Common External Tariff rates.